



ACCOUNTING POLICY PAPER INSURANCE ACQUISITION CASHFLOWS

SOCIAL HEALTH AUTHORITY

22nd May 2026

Prepared by: **Chief Executive Officer**

Reviewed by: **Consulting Actuary, Kenbright Actuarial & Financial Services Limited**

Approved by: **Board of Management**

IFRS 17 Insurance Contracts establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the Standard. The objective of IFRS 17 is to ensure that an insurer provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the insurer's financial position, financial performance and cash flows.

DOCUMENT TRACKING

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CLIENT

The Chief Executive Officer
Social Health Authority (SHA)
SHA Building, Ragati Road
P.O. BOX 30443 - 00100
Nairobi, Kenya

OUR REF

Social Health Authority- SHA IFRS 17 Implementation \IFRA 17 Policy Papers\ Social Health Authority – Accounting Policy Paper – Insurance Acquisition Cashflows_(220526)

DOCUMENT PURPOSE

Submission to the Management of Social Health Authority.

DOCUMENT OWNERSHIP

The owner of this document is Social Health Authority.

To protect the confidential and proprietary information included in this document, it may not be disclosed or provided to any third parties without the approval of Social Health Authority.

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ABBREVIATIONS & DEFINITIONS

NAME	DEFINITION
CSM	Contractual Service Margin
ECCIF	Emergency, chronic and critical illness Insurance Fund
GMM	General Measurement Method
IACFs	Insurance Acquisition Cashflows
IFRS	International Financial Reporting Standards
KAFS	Kenbright Advisory & Financial Services Limited
PAA	Premium Allocation Approach
PHC	Primary Health Care
SHA	Social Health Authority
SHIF	Social Health Insurance Fund

1 INTRODUCTION

Background

- 1.1 The Social Health Authority ('SHA') is a statutory agency established under Section 4 of the Social Health Insurance Act, which was enacted on 22nd November 2023 to succeed the National Hospital Insurance Fund (NHIF) as Kenya's primary health coverage provider. NHIF ceased its operations on 30th June 2024, with its final admissions date being 30th September 2024. The transition period, spanning from November 2023 to mid-2024, involved the legal transfer of assets, liabilities and functions. SHA officially commenced its operations on 1st October 2024.
- 1.2 SHA is mandated to pool contributions from individuals, employers, and the government in order to purchase healthcare services from empaneled and contracted healthcare providers and pay for the provision of quality healthcare services to members and their beneficiaries.
- 1.3 SHA operates under Section 4 of the Social Health Insurance Act, 2023 and manages four funds;
 - Primary Healthcare Fund
 - Social Health Fund (SHIF); and
 - Emergency, Chronic and Critical Illness Fund (ECCIF)
 - Public Officers Medical Scheme Fund (POMSF)
- 1.4 It uses these pooled funds to purchase healthcare services from empaneled providers and ensures access to healthcare for registered members and their beneficiaries.

Purpose

- 1.5 This policy paper outlines the comprehensive approach and methodology that Social Health Authority ("SHA") will adopt in determining the Insurance Acquisition Cashflows ('IACFs') under IFRS 17.
- 1.6 IFRS 17 defines insurance acquisition cashflows as:

Insurance acquisition cashflows are cash flows arising from the costs of selling, underwriting, and starting a group of insurance contracts (issued or expected to be issued) that are directly attributable to the portfolio of insurance contracts to which the group belongs.
- 1.7 The treatment of insurance acquisition cash flows is crucial for providing a true and fair view of an entity's financial position and performance.
- 1.8 IFRS 17 aims to provide greater transparency in the financial statements of insurance companies. This can be achieved by ensuring proper recognition of acquisition cash flows. Thus, providing a better indication of an entity's condition and performance.
- 1.9 The standard helps in making comparisons and having uniformity when reporting acquisition costs since it applies this treatment in the same manner to all forms of insurance contracts.
- 1.10 IFRS 17 aligns the timing of insurance acquisition cash flows to the recognition pattern of revenue. This implies that costs incurred in acquiring the contracts are spread and recognized over the coverage period of the resultant contracts – an expense recovery to its earned revenue.

Treatment of Acquisition Cashflows under SHA

- 1.11 As per IFRS 17, IACFs refer to expenses and payments an entity uses to acquire new policies.
- 1.12 Since every Kenyan household is mandated by law to contribute to the Fund, there are **NO** insurance acquisition costs incurred by SHA.

This policy has been adopted and signed by the Board of Management of Social Health Authority on this _____ day of _____ 2026.

Chief Executive Officer: _____

Signature: _____

Appointed Actuary: Ezekiel Macharia

Signature: _____

2 REFERENCE

Refer to the IFRS 17 Standard available online at the address below

<https://www.ifrs.org/content/dam/ifrs/publications/pdf-standards/english/2022/issued/part-a/ifrs-17-insurance-contracts.pdf?bypass=on>

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About Us

Kenbright Actuarial & Financial Services Limited (KAFS)
Prism Towers, 26th Floor 3rd Ngong Avenue,
Nairobi, Kenya
www.kenbright.co.ke

Customer Service Lines: +254 709 783 000

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Key Contacts

ACTUARY

E Macharia, FIA C. Act, FeASK
Chief Actuary & Managing Director
E-mail: ezekiel@kenbright.africa
Phone: +254 722 540 045

M Nyantika

Head of Practice (General Insurance)
Email: mnyantika@kenbright.africa
Phone: +254 724 870 875

L Akello

Actuarial Manager
E-mail: lakello@kenbright.africa
Phone: +254 724 294 487

M Maingi

Senior Actuarial Analyst
E-mail: mmaingi@kenbright.africa
Phone: +254 701 148 784